KE1243
November 1, 2023

TIM CALKINS

Crescendo:
Steinway's Growth Strategy

Vicki Xu was excited about her brand-new job as an equity analyst at Damen Investments. She had joined the firm a week earlier, and today, March 15, 2022, she was meeting with her manager to discuss her first project.

Her manager, Damen partner Kathleen Mitchell, began the meeting by saying: "I'm sure you know the piano company Steinway. It's preparing for an IPO and looks like an interesting opportunity for us, but I'm wondering if there is enough upside. We invest only in firms with strong growth potentia

l over a long horizon—maybe 10 years or more. I'd like you to take a look at Steinway and get back to me with your point of view."

Vicki smiled with genuine pleasure; this was precisely the type of project she liked best. She responded, "I'll get right on it. At first glance, I like the brand, but without growth, it just won't be a good investment. I'll start by evaluating their marketing efforts and then see if it looks likely to drive real growth."

The Piano Industry

For centuries, in one form or another, pianos had been played and enjoyed worldwide. In 2021, the industry had sales of US$2.4 billion.[1]

Pianos came in a range of shapes and sizes. The most basic distinction was between grand and upright pianos: Grand pianos were preferred by both professional and amateur pianists for their superior sound quality and visual impact, whereas upright pianos were less expensive and ideal for buyers with limited space. Upright pianos were far more popular, making up 80% of unit sales.

The piano market had three primary buyers: Individuals purchasing pianos to enjoy at home made up the majority of sales; music schools and concert halls acquiring pianos for use in instruction and performance came next; and last were commercial buyers acquiring pianos to enhance a space—a hotel, for example, might have a piano in the lobby, and the United Airlines terminal at Chicago's O'Hare International Airport boasts one.

Purchasing a piano was a significant investment; the least expensive new pianos sold for several thousand dollars. At the high end, some grand pianos cost well over $100,000, and limited-edition pianos occasionally sold for more than $1 million.

Most sales of pianos—which could last for many years, even decades—occurred in the secondary market. Many piano executives viewed the secondary market as their primary competition.

Pianos were sold all over the world. The largest market—by far—was China, which saw annual sales of some 400,000 pianos and where about 30 million children took piano lessons.[2] In contrast, the US market had sales of 30,000 pianos,[3] and its 6 million practicing pianos compared with China's 40 million.[4]

The piano industry was mature, and in many markets, it was declining. Sales in the United States fell from 95,518 pianos in 2005 to 29,236 in 2021.[5] (See **Exhibit 1**.)

Steinway

Steinway was the world's most famous piano brand, with a long and proud history.

The brand was founded in 1853 by Henry Engelhard Steinway, who created the first Steinway in his loft on Varick Street in New York City. (See **Exhibit 2**.) Over time, the company developed a reputation for crafting the ultimate in quality. As the company wrote in its IPO filing: "Since 1853, generation after generation, we have made and continue to make what we believe are the world's finest musical instruments."[6]

Artist Support

Steinway's reputation had been created and was sustained by the support of musical artists; many of the world's top pianists played on Steinway pianos. In 2021, the Steinway Artist Program worked with about 1,900 artists, including Billy Joel, Lang Lang, Ahmad Jamal, Diana Krall, Yuja Wang, and Charlie Puth.[7] During the 2018–2019 concert season, 97% of pianists chose Steinway when performing with an orchestra.[8]

Steinway carefully selected pianists to join its program for artists. The individuals were not compensated and had to own a Steinway already. One of the benefits of participating in the program was that these artists had access to a bank of 300 Steinway pianos, and the company would deliver a Steinway to any location where the artist was performing. At one point, this even included an iceberg in the Atlantic Ocean.[9]

The company also reached out to emerging artists; more than 220 schools were part of the company's All-Steinway school program.

Manufacturing

Steinway built its pianos by hand in two production facilities: Astoria, Queens, New York; and Hamburg, Germany. The Astoria facility was established in 1873, and the German operation opened in 1880.

Production was time-consuming and challenging. It took more than six months to build one Steinway piano. Capacity was limited because the process was slow, and training new workers took considerable time. In recent years, Steinway had run at full capacity and manufactured 2,600 pianos annually.

The company had secured more than 150 patents, including 19 in the past decade.[10]

To protect its supply, Steinway acquired some of its key suppliers. The most recent acquisition was in 2019 when Steinway bought Louis Renner, a world leader in piano action parts. Earlier, Steinway acquired Kluge GmbH, the largest piano key manufacturer in Europe, and O.S. Kelly, a US manufacturer of piano plates.

Distribution

Steinway pianos were sold through a network of company showrooms, as well as through independent dealers. In recent years, Steinway had focused on adding more company-owned stores. In 2022, Steinway had 16 dedicated showrooms in the US, 11 in Europe, and six in Asia. Twenty-six of these locations were new since 2013.[11] The firm had about 180 dealers; these retailers carried several different brands.

Steinway-owned stores comprised 9% of retail locations, 33% of unit sales, and 39% of dollar sales. Revenue from these stores grew from $76 million in 2016 to $160 million in 2021.[12]

Pricing

Steinway pianos were expensive; the one that cost the least, an upright model, sold for about $40,000. The company produced only a small number of these upright models. Steinway grand pianos sold for up to $340,000. (See **Exhibit 3**.)

Limited Edition and Crown Jewel

Each year, Steinway sold a minimal number of Limited Edition and Crown Jewel pianos. These one-of-a-kind items sold for very high prices. The pianos maintained the Steinway sound but were made with unique woods and design elements. For example, the Steinway Crown Jewel piano with Macassar ebony veneer sold for $224,100.[13] In 2016, Steinway sold a limited-edition Spirio Fibonacci B piano for $2.4 million.[14]

Spirio

In 2015, Steinway launched the Spirio, a high-resolution player piano. Spirio was based on a proprietary software program that measured hammer and damper velocity multiple times per second. With this innovation, a Steinway piano could play itself. According to Steinway's IPO filing documents, "We consider the Spirio technology to be a masterpiece of artistry and engineering, delighting listeners with recorded performances of artists, with what we believe to be the same level of intimacy and nuance as a live performance."[15]

The firm introduced Spirio r in 2019. This technology allowed people to record while playing their piano and edit the segment. Two years later, the firm rolled out Spiriocast, which allowed the streaming of a performance and meant that a Steinway could duplicate an actual performance occurring in a different location.

Steinway created a library of performances that were downloaded to every Spirio piano. Many were also synced with video. Remarkably, Steinway Spirio pianos could recreate historical performances by Duke Ellington and Vladimir Horowitz, among many other musicians.

Spirio pianos sold at a premium price that started at $113,000. Adding Spirio to a Steinway Model M increased the price by $27,500 and adding Spirio r increased the price by $45,000. Still, these were compelling offerings for people who could not play the piano. Indeed, this segment made up 67% of Spirio buyers.[16]

Since entering the market, Spirio sales had increased from $33 million in 2016 to $131 million in 2021. (See **Exhibit 4**.)

Certified Pre-Owned

Steinway recently introduced a certified pre-owned program, which warranted that participant pianos would have all-Steinway parts. The pianos came with a three-year warranty.

Boston and Essex

In addition to Steinway, the company supported two other brands. For The Boston by Steinway brand, introduced in 1992, the company sourced pianos from manufacturing partners in Japan and Indonesia. These pianos were significantly less expensive than a Steinway. Prices on Boston pianos ranged from $20,000 to $60,000 for grands and from $10,000 to $20,000 for uprights.

In 2001, the company introduced The Essex by Steinway brand. These pianos were even less expensive than The Boston. Steinway sourced Essex pianos from a manufacturer in China.

Three things were notable about Boston and Essex: The company made it clear that these were not Steinway pianos, embracing the phrase "Designed by Steinway." Second, Steinway had a trade-up program called the Steinway Promise. Someone who purchased a Boston or Essex could trade in the piano and apply the original purchase price toward acquiring a new Steinway. Third, the brands were sold in Steinway showrooms and dealerships.

Boston and Essex made up 79.7% of the company's piano unit sales in 2021 and 18.9% of revenue.[17] The figures were similar in 2020: 77.7% and 20.3%.[18]

Global Growth

Steinway was a global brand and business, with sales in 88 countries. In 2021, the Americas made up 53.6% of net sales, with Asia-Pacific at 28.5% and Europe/Middle East/Africa at 17.9%.[19]

Asia was a vital region in terms of growth, especially China. In 2021, the company had sales of $150 million in APAC, with $117 million in China.

In recent years, Steinway had focused on China, opening retail locations, partnering with Chinese artists, and supporting the International Children and Youth Piano Competition. More than 40,000 Chinese children participated in this event in 2021. The number of concert halls in China with Steinway pianos had grown from 11 in 2012 to 134 in 2021.

Steinway's growth in China was subsequently substantial. Sales were $46 million in 2016 and $116.5 million in 2021. Still, the brand remained undeveloped in the market; the company sold half as many grand pianos in China as in the US in 2021.

Steinway and Selmer

For most of its history, Steinway was a private, family-owned company. In 1972, the family sold the company to CBS. In 1985, CBS sold the company to a group of investors.

In 1993, two Drexel Burnham investment bankers, Dana Messina and Kyle Kirkland, acquired band instrument maker Selmer Inc. for $95 million. The duo then acquired Steinway in 1995 for $100 million. The new firm had two divisions: Steinway focused on pianos, and Selmer concentrated on band instruments.

In 1996, the company changed its name to Steinway Musical Instruments Inc. and went public on the New York Stock Exchange, issuing 3.57 million shares at $19. The IPO valued the company at about $180 million. Steinway's ticker was LVB, for Ludwig van Beethoven. The stock offering was disappointing, with the stock falling on the first day.[20] As one portfolio manager observed, "It's not a great investment. They're charging too much for a company with limited growth prospects."

In 2000, the company bought United Musical Instruments, including the C.G. Conn brand. After this acquisition, Steinway renamed its band division Conn-Selmer.

Private equity investor John Paulson's firm Paulson & Co. bought the company in 2013 after outbidding rival firm KKR, with a final price of $512 million, or $40 per share.[21]

Steinway had 1,886 employees at the end of 2021.[22] Benjamin Steiner, a 36-year-old former partner at Paulson & Co., became president and CEO in April 2022. He was involved in the 2013 acquisition and joined the Steinway team in 2016.

Paulson planned to take the company public again in 2022 on the New York Stock Exchange with the ticker STWY.

Band Segment

Conn-Selmer, the company's band division, made up 24.5% of sales in 2021 and just 12.5% of gross profit. The band segment was almost entirely domestic, with sales in the US making up 97% of the total.

The band division sold a wide variety of musical instruments. Brass instruments, such as trumpets and French horns, comprised 40% of sales. Percussion accounted for 20%, and woodwind, another 21%.

Conn-Selmer sold a range of brands, including Conn (French horns, trombones, tubas), Bach (trombones and trumpets), Holton (baritones, French horns, tubas), King (brass instruments), Leblanc (clarinets), Selmer (woodwinds), Scherl & Roth (string instruments), and Ludwig (percussion). Many of these brands were leaders in their respective segments.

The primary market for these instruments was education: schools and parents. About 50% of sales were in this sector. This figure was even higher when you included musicians trading up for fancier instruments. Sales in this sector were driven primarily by public spending on music education.

Three things made this business particularly challenging. First, the market was intensely competitive, with many brands fighting for share. Second, instruments could last a long time. Schools held on to instruments for many years. Third, brands were small and lacked critical mass. It was difficult to invest significant marketing dollars in a brand like Bach trumpets when revenues were small.

As a result, the band segment had contributed modestly to the total company's results in recent years.

Financial Results

Steinway had delivered strong results in 2021; revenue was $538.4 million—up an impressive 29.5% compared with 2020. Net income was $59.3 million, up 14.4%. (See **Exhibits 5**, **6**, **7**, and **8**.) Of course, these results reflected the rebound from COVID-related disruptions that affected the business in 2020.

Still, the longer-term picture was impressive. Revenue had grown from $386 million in 2016 to $538 million in 2021, a growth CAGR of +6.9%. Net income increased from $3 million to $59 million over the same period, a CAGR of +83.9%. (See **Exhibits 9** and **10**.)

Pricing was a key driver of Steinway's financial performance. Between 2016 and 2021, Steinway piano unit sales increased at a 4.1% CAGR. The average selling price, however, increased at a rate of 8.2%.[23]

Competition

The global piano market was intensely competitive, with many brands competing for sales. Yamaha was the most significant global player, but other competitors also caused worry.

Steinway was the clear leader in the ultra-premium piano market, with a share of about 80%.[24] It had a much smaller share in other segments of the industry.

Yamaha

Yamaha was a giant Japanese company with more than $3 billion in sales. The company was founded in 1887 by Torakusu Yamaha after he repaired a broken reed organ. It has grown and expanded over the years. In 2022, the firm manufactured a wide range of products, including musical instruments, golf equipment, electronic devices, and automotive sound systems. At one point, the company produced motorcycles, boats, and snowmobiles, but these businesses were split off into Yamaha Motor Company.

One of the world's largest manufacturers of pianos, Yamaha was the undisputed leader in the mid-tier segment. The company had long striven to challenge Steinway for the high-end part of the industry.

Bösendorfer

Bösendorfer pianos were notable because they were even more expensive than Steinways. Founded in 1828 in Vienna, Austria, by Ignaz Bösendorfer, the company was the oldest manufacturer of pianos in the world. The company produced a few very exclusive pianos each year. The company sold five models of grand pianos and two of upright pianos.

Yamaha bought Bösendorfer in 2008, but the firm still operated independently.

Baldwin

Baldwin was a US piano brand founded in Cincinnati, Ohio, in 1857 by Dwight Hamilton. At one point, Baldwin was the largest manufacturer based in the country. In 2008, the company moved production to China.

As of 2022, Baldwin had six grand-piano models and 10 uprights, all in the mid-tier segment.

Samick and Young Chang

These two Korean brands sold inexpensive entry-level pianos. Samick was founded in 1958 in Seoul, South Korea, and sold grand and upright pianos in various sizes. The majority of Samick's production was in Indonesia. In 2008, the company acquired the small German piano manufacturer Seiler.

Young Chang was founded in 1962 in Incheon, South Korea. As of 2022, the company and its four grand and six upright piano models held about 50% of the Korean piano market. With distribution that began in 2010, the firm was a relatively new entrant to the North American market.

Pearl River Piano Group

Pearl River Piano was founded in 1956 in China. The company was one of the world's largest piano manufacturers, annually producing about 150,000 pianos ranging from electric to grand. In January 2016, the company took over 90% of the shares of Wilhelm Schimmel, a German piano manufacturer located in Braunschweig. Pearl River Piano manufactured Steinway's Essex brand piano line; in 2005 signed an agreement in which Steinway would design and Pearl River Piano would manufacture Essex pianos.

Looking Ahead

Steinway executives presented an optimistic outlook in the company's IPO filings. According to these documents, the future looked bright indeed for Steinway.

To understand Steinway's potential, it was necessary to look beyond pianos. According to the Steinway team, the company played in the piano market, but more important, the firm was a promising player in the global luxury industry. Steinway's IPO filing stated that "Steinway competes in the fast-growing and highly attractive global personal luxury goods market." This market had global sales of $945.8 billion in 2021.[25]

The Steinway IPO materials presented several growth avenues:

Luxury Growth

Steinway expected to benefit from market trends, and the number of high net-worth individuals was growing. In the five years ending on December 31, 2021, the number of high-net-worth individuals (HNWI) had grown at a +10.1% CAGR. The number of ultra-high-net-worth individuals grew even faster, at a +11.9% CAGR.[26]

China

As the largest piano market in the world, China was a major growth priority for Steinway. According to forecasts, the personal luxury goods market was expected to grow 8.54% between 2020 and 2026.[27]

Steinway executives were optimistic about the opportunities China presented because so many people there held classical music in high regard. In addition, Steinway had a strong brand; all 11 national conservatories used Steinway pianos.

Spirio

Another focus was expanding purchases of the Spirio piano line to wealthy buyers who could not play the piano. Steinway wrote in its IPO filings: "With this evolution, enabled through *Spirio* technology, we believe the *Steinway* piano has been recast—not only as the preeminent high-performance piano but also as a unique luxury entertainment system for the home."[28]

Portfolio Growth: Essex, Boston, and Limited-Edition Steinways

The company's brand portfolio provided another potential avenue for growth; the brands played in significant segments of the industry but had little market share.

Brand Relevance and Influencers

Influencers were always crucial to Steinway, but executives were convinced the company could do far more in this area. Some at Steinway believed the company needed to do more to keep its brand contemporary.

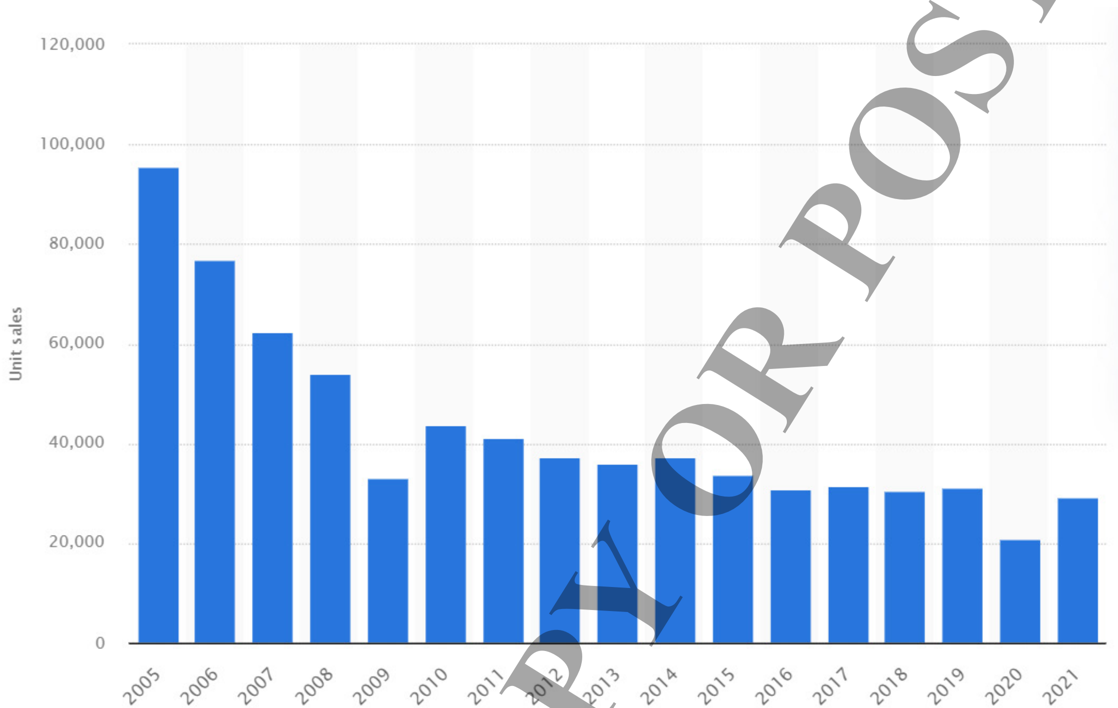
The Project

Vicki Xu quickly got to work on the project. It was easy to learn about Steinway, but the path forward was less clear. Could Steinway continue to build profits over time? Clearly, recent results had been positive. The longer-term outlook was less clear.

One thing was certain: Profit growth didn't just happen; it had to come from somewhere. Vicki wondered where that would be.

Exhibit 1: Piano Sales in the United States

[Return to Text]



Source: "Number of Acoustic Pianos Sold in the United States from 2005 to 2021," Statista, accessed February 14, 2023, https://www.statista.com/statistics/452772/number-of-pianos-sold-in-the-us.

Exhibit 2: Key Dates in Steinway History

[Return to Text]

1836	Heinrich Engelhard Steinweg builds first piano in Germany
1850	Steinweg emigrates to the US with his family
1853	Steinweg anglicizes his name to Henry Engelhard Steinway Founds Steinway & Sons
1866	Opens first Steinway Hall
1873	Opens Astoria factory
1880	Opens Hamburg factory
1972	CBS acquires the company
1992	Launches Boston by Steinway brand
1995	Selmer acquires Steinway
1996	Goes public under ticker LVB
2001	Launches Essex by Steinway brand
2013	Taken private by Paulson & Co.

Source: "Steinway & Sons History," Steinway & Sons: Steinway Galleries Australia, accessed October 23, 2022, https://steinway.com.au/about/steinway-sons-history.

Exhibit 3: Steinway Product Line

[Return to Text]

Model	2022 Price
Model D – Concert Grand	$198,400
Model B – Classic Grand	$124,900
Model A – Salon Grand	$110,500
Model O – Living Room Grand	$95,800
Model M – Medium Grand	$86,200
Model S – Baby Grand	$80,100
Model K – Professional Upright	$46,900

Source: Steinway S-1, F4.

Exhibit 4: Steinway Spirio Sales: 2016–2021 (US$ in Millions)

[Return to Text]

2016	$33
2017	55
2018	73
2019	91
2020	106
2021	131

Source: Steinway S-1, 134.

Exhibit 5 Steinway Company Income Statement, 2020–2021 (US$ in Thousands)

[Return to Text]

	Year Ended December 31, 2020	Year Ended December 31, 2021
Net sales	$415,856	$538,350
Cost of sales	256,672	313,735
Gross profit	159,184	224,615
Selling, general and administrative expenses	105,222	136,385
Goodwill impairment	13,593	—
Total operating expense	118,815	136,385
Income from operations	40,369	88,230
Other (income) expense, net:		
Interest expense, net	15,546	5,237
Other pension benefit	(165)	(341)
Gain on sale of assets held for sale	(56,290)	—
Other income	(943)	(1,606)
Total other (income) expense, net	(41,852)	3,290
Income before provision for income taxes	$ 82,221	$ 84,940
Income tax expense	30,406	25,677
Net income	$ 51,815	$ 59,263
Net income per share:		
Basic and diluted	$ 51,815	$ 59,263
Weighted-average common shares used in computing net income per share:		
Basic and diluted	1,000	1,000

Source: Steinway S-1, F4.

Exhibit 6: Steinway Company Balance Sheet, 2020–2021 (US$ in Thousands)

[Return to Text]

	2020	2021
ASSETS		
Current assets:		
Cash and cash equivalents	$ 43,784	$ 43,718
Accounts and notes receivable, net	31,815	39,050
Inventories, net	181,733	168,007
Prepaid expenses and other current assets	6,273	13,866
Total current assets	263,605	264,641
Property, plant and equipment, net	133,406	138,502
Intangible assets, net	131,516	133,221
Goodwill	92,536	91,767
Deferred tax assets	5,606	7,483
Other long-term assets	10,591	10,436
Total assets	$637,260	$646,050
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	12,860	20,734
Debt – current	4,558	2,122
Other current liabilities	71,546	123,183
Total current liabilities	88,964	146,039
Debt – noncurrent	142,776	48,382
Deferred tax liabilities	16,099	20,481
Pension and other post-retirement benefit liabilities	59,171	42,470
Other noncurrent liabilities	24,777	18,282
Total liabilities	331,787	275,654
Commitments and contingencies (Note 10)		
Stockholders' equity:		
Preferred stock, $0.01 par value; 1,000 shares authorized as of December 31, 2020 and 2021; no shares issued and outstanding as of December 31, 2020 and 2021	—	—
Common stock, $0.01 par value; 1,000 shares authorized as of December 31, 2020 and 2021; 1,000 shares issued and outstanding as of December 31, 2020 and 2021	—	—
Additional paid-in capital	233,170	233,170
Retained earnings	110,764	170,027
Accumulated other comprehensive loss	(38,461)	(32,801)
Total stockholders' equity	305,473	370,396
Total liabilities and stockholders' equity	$637,260	$646,050

Source: Steinway S-1, F3.

Exhibit 7: Steinway Company Cash Flow Statement, 2020–2021 (US$ in Thousands)

[Return to Text]

	Year Ended December 31, 2020	2021
Cash flows from operating activities:		
Net income	$ 51,815	$ 59,263
Adjustments to reconcile net income to net cash used in operating activities:		
Depreciation and amortization	14,950	14,889
Impairment charges	16,093	—
Non-cash interest expense and other	745	2,206
Share-based compensation	1,860	7,644
Non-cash employee compensation	250	—
Decrease (increase) in fair value of derivative instruments	1,478	(4,685)
Deferred income tax	4,674	(1,156)
Provision for (recovery of) doubtful accounts	228	(149)
Amortization of pension from other comprehensive loss	2,031	2,758
Gain on sale of assets	(55,888)	(23)
Changes in operating assets and liabilities:		
Accounts and notes receivable	19,669	(6,845)
Inventories	10,781	15,407
Prepaid expenses and other current assets	2,095	(7,925)
Accounts payable	(909)	1,912
Other current and noncurrent liabilities	(11,425)	39,189
Net cash provided by operating activities	58,447	122,485
Cash flows from investing activities:		
Capital expenditures	(9,895)	(21,991)
Capitalization of software development costs	(1,076)	(958)
Acquisition of land development rights	—	(1,297)
Proceeds from sales of property, plant and equipment	68,551	108
Other investments	—	(849)
Net cash provided by (used in) investing activities	57,580	(24,987)
Cash flows from financing activities:		
Net borrowings/(repayments) under domestic lines of credit	20,000	(500)
Borrowings of long-term debt	21,742	945
Net borrowings/(repayments) under foreign lines of credit	(9,174)	1,501
Repayments of long-term debt	(136,659)	(98,306)
Net cash used in financing activities	(104,091)	(96,360)
Effects of foreign exchange rate changes on cash and cash equivalents	1,926	(1,204)
Net increase (decrease) in cash and cash equivalents	13,862	(66)
Cash and cash equivalents—beginning of year	29,922	43,784
Cash and cash equivalents—end of year	$ 43,784	$ 43,718

Source: Steinway S-1, F7.

Exhibit 8: Steinway Segment Financials (US$ in Thousands)

[Return to Text]

	Year Ended December 31, 2020		
	Piano	Band	Consolidated
Net sales:			
Americas	$119,489	$ 95,507	$ 214,996
Asia Pacific	114,481	1,226	115,707
EMEA	83,458	1,695	85,153
Total Net Sales	317,428	98,428	415,856
Gross profit	139,342	19,842	159,184
Gross profit margin	43.9%	20.2%	38.3%
Adjusted EBITDA	$ 72,064	$ 4,934	$ 76,998
Adjusted EBITDA margin	22.7%	5.0%	18.5%

	Year Ended December 31, 2021		
	Piano	Band	Consolidated
Net sales:			
Americas	$162,913	$125,771	$ 288,684
Asia Pacific	149,904	3,267	153,171
EMEA	93,784	2,711	96,495
Total Net Sales	406,601	131,749	538,350
Gross profit	196,483	28,132	224,615
Gross profit margin	48.3%	21.4%	41.7%
Adjusted EBITDA	$106,805	$ 10,657	$ 117,462
Adjusted EBITDA margin	26.3%	8.1%	21.8%

Source: Steinway S-1, F43–44.

Exhibit 9: Steinway Company Financials: 2016–2021 (US$ in Millions)

[Return to Text]

	Sales	Gross Profit	Adj EBITDA	Net Income
2016	386	137	50	3
2017	418	151	68	13
2018	450	181	88	18
2019	476	191	92	29
2020	416	159	77	52
2021	538	225	117	59
CAGR	+6.9%	+10.4%	+18.7%	+83.9%

Source: Steinway S-1, 127–128.

Exhibit 10: Steinway Piano Financials: 2016–2021 (US$ in Millions)

[Return to Text]

	Sales	Gross Profit	Adj EBITDA	Net Income
2016	245	100	32	14
2017	278	114	51	26
2018	308	139	64	32
2019	332	154	77	40
2020	317	139	72	30
2021	407	196	107	71
CAGR	+10.7%	+14.5%	+26.9%	+38.5%

Source: Steinway S-1, 128.

Endnotes

1 "Global Piano Market to Reach $2.9 Billion by 2030," Globe Newswire, March 9, 2023, https://www.globenewswire.com/news-release/2023/03/09/2623772/0/en/Global-Pianos-Market-to-Reach-2-9-Billion-by-2030.html.

2 Steinway S-1, 7.

3 Ibid.

4 Ibid., 138.

5 "Number of Acoustic Pianos Sold in the United States from 2005 to 2021," Statista, accessed July 22, 2022, https://www.statista.com/statistics/452772/number-of-pianos-sold-in-the-us.

6 Steinway S-1, 1.

7 Ibid., 2.

8 Ibid.

9 Ibid., 135.

10 Ibid., 138.

11 Ibid.

12 Ibid., 133.

13 "The Cost of a Steinway Piano," Brandford Piano, https://bradfieldpiano.com/steinway-piano-cost.

14 "This $2.4 Million Piano Will Take Your Breath Away." Luxury Launches, June 16, 2015, https://luxurylaunches.com/home_improvement/this-2-4-million-piano-will-take-your-breath-away.php.

15 Steinway S-1, 134.

16 Ibid., 18.

17 Ibid., 95.

18 Ibid.

19 Ibid.

20 "Steinway Stock Hits the Wrong Chord with Investors," news wires, *Spokesman-Review*, August 3, 1996, https://www.spokesman.com/stories/1996/aug/03/steinway-stock-hits-the-wrong-chord-with-investors.

21 David Ng, "Steinway, Maker of Pianos, Sold for $512 Million to Hedge Fund," *Los Angeles Times*, August 14, 2013, https://www.latimes.com/entertainment/arts/la-xpm-2013-aug-14-la-et-cm-steinway-pianos-sold-20130814-story.html.

22 Steinway S-1, 150.

23 Ibid., 129.

24 Ibid.

25 Ibid., 6.

26 Ibid., 129.

27 "Global Luxury Goods Market to Reach $429.81 Billion by 2026 at a CAGR of 8.52%," September 13, 2022, https://www.prnewswire.com/news-releases/global-luxury-goods-market-to-reach-429-81-billion-by-2026-at-a-cagr-of-8-52-301623128.html

28 Ibid., 137.